

SECTION A ITEMS (COMPULSORY SECTION)

1 a) Production in an enterprise and Cash flow statements

Item 1

In 2026, a fruit-processing enterprise in Kikuube District expanded its market from local shops to supermarkets in Hoima and Fort Portal. Although demand for its products increased, the enterprise experienced frequent machine breakdowns, delays in receiving fresh fruits from farmers, and increasing wastage during processing. Management became concerned about the sustainability of the enterprise and decided to review both the way activities were coordinated and the expected movement of money over the next three months. The enterprise expects to receive UGX 8,500,000 from cash sales and UGX 4,500,000 from customers in July 2026, UGX 9,000,000 and UGX 5,000,000 respectively in August, and UGX 10,500,000 and UGX 5,500,000 respectively in September. Payments for fruits are projected at UGX 6,000,000, UGX 6,500,000 and UGX 7,000,000 for July, August and September respectively. Wages are expected to be UGX 2,200,000 in July and August and UGX 2,400,000 in September. Transport costs are estimated at UGX 500,000, UGX 600,000 and UGX 650,000, while maintenance expenses are expected to be UGX 300,000, UGX 400,000 and UGX 450,000 respectively. Monthly loan repayments of UGX 1,000,000 are also expected. The enterprise had UGX 3,000,000 at the beginning of July.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips:*

- a) Explain how the enterprise can improve the coordination of its resources and activities to minimize losses and meet customer expectations.*
- b) Using the information provided, prepare appropriate monthly projections that can help management assess the enterprise's financial position during the period.*

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Item 2

Sarah established a small enterprise that manufactures industrial overalls for workers in the Albertine region. As the business grew, she experienced shortages of raw materials, delays in production, and increasing customer complaints about delivery schedules. To determine whether the enterprise would remain sustainable, she reviewed projections for the next quarter. The enterprise expects cash sales of UGX 12,000,000 in October 2026, UGX 13,500,000 in November and UGX 15,000,000 in December. Collections from customers are projected at UGX 5,000,000, UGX 5,500,000 and UGX 6,000,000 respectively. Payments for raw materials are expected to amount to UGX 8,000,000 in October, UGX 8,500,000 in November and UGX 9,000,000 in December. Factory wages are projected at UGX 2,500,000, UGX 2,600,000 and UGX 2,700,000 respectively. Utility expenses are estimated at UGX 700,000, UGX 750,000 and UGX 800,000, while vehicle operating expenses are expected to be UGX 600,000, UGX 700,000 and UGX 700,000. During November, the enterprise plans to acquire equipment worth UGX 4,000,000. The opening cash balance for October is UGX 5,500,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend measures Sarah could adopt to improve the flow of activities and utilization of resources within the enterprise.*
- b) Prepare a suitable projection showing the expected availability of funds during the quarter.*

Item 3

A dairy-processing enterprise in Hoima City secured contracts to supply yoghurt to schools, hospitals and supermarkets. However, management observed that production levels did not always match demand, resulting in either shortages or excess stock. The enterprise also planned to invest in additional equipment and wanted to assess the likely impact on future operations. During January 2027, the enterprise expects UGX 14,000,000 from cash sales and UGX 6,000,000 from debtors. In February, receipts from cash sales are projected at UGX 16,000,000 and collections from debtors at UGX 6,500,000. In March, cash sales are expected to reach UGX 18,000,000 while

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debtor collections are projected at UGX 7,000,000. Payments to suppliers are estimated at UGX 9,000,000, UGX 10,000,000 and UGX 11,000,000 respectively. Salaries are expected to amount to UGX 3,000,000 in January and February and UGX 3,200,000 in March. Marketing expenses are projected at UGX 1,000,000, UGX 1,200,000 and UGX 1,500,000. The enterprise also plans to purchase equipment worth UGX 5,000,000 in January and pay loan interest of UGX 500,000 each month. The opening cash balance is UGX 7,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Suggest strategies that would enable the enterprise to align its activities with changing market demand and improve long-term performance.*
- b) Using the information provided, prepare a statement that will assist management in evaluating future financial viability.*

Item 4

A furniture enterprise in Kagadi District experienced rapid growth after obtaining large orders from schools and institutions. Despite the increase in demand, management observed high levels of timber wastage, idle labour during some periods and delays in completing customer orders. To evaluate the sustainability of the enterprise, projections were made for the next three months. The enterprise expects cash sales of UGX 10,500,000 in April 2027, UGX 11,500,000 in May and UGX 12,500,000 in June. Receipts from customers are estimated at UGX 3,500,000, UGX 4,000,000 and UGX 4,500,000 respectively. Purchases of timber are projected at UGX 5,500,000 in April, UGX 6,000,000 in May and UGX 6,500,000 in June. Direct labour costs are expected to be UGX 2,000,000, UGX 2,100,000 and UGX 2,300,000. Administrative expenses are projected at UGX 1,000,000 in April, UGX 1,100,000 in May and UGX 1,100,000 in June. Transport expenses are expected to amount to UGX 400,000, UGX 500,000 and UGX 600,000, while machine repair costs are estimated at UGX 800,000, UGX 300,000 and UGX 500,000 respectively. The enterprise starts the period with UGX 4,000,000 in cash.

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Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Examine measures that could help the enterprise improve efficiency and make better use of available resources.*
- b) Use the information provided to prepare monthly projections that can guide management in making financial decisions.*

Item 5

A honey-processing social enterprise in Buliisa District purchases honey from rural farmers, processes it and supplies urban markets. As demand increased, management expanded distribution activities and invested in new packaging materials. However, concerns emerged about whether the enterprise would have sufficient resources and funds to sustain growth. For July 2026, the enterprise expects UGX 7,000,000 from cash sales and UGX 2,500,000 from customer collections. In August, these amounts are projected at UGX 8,000,000 and UGX 3,000,000 respectively, while September and October are expected to generate UGX 9,000,000 and UGX 3,500,000, and UGX 10,000,000 and UGX 4,000,000 respectively. Purchases of honey are projected at UGX 4,000,000, UGX 4,500,000, UGX 5,000,000 and UGX 5,500,000 for the four months. Packaging expenses are expected to amount to UGX 1,000,000, UGX 1,200,000, UGX 1,300,000 and UGX 1,400,000 respectively. Salaries are estimated at UGX 1,500,000 in July and August and UGX 1,700,000 in September and October. Distribution costs are projected at UGX 700,000, UGX 800,000, UGX 900,000 and UGX 1,000,000 respectively. During August, the enterprise plans to purchase equipment worth UGX 3,000,000. The opening cash balance is UGX 2,500,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Assess the actions the enterprise can take to improve the coordination of activities and resources for long-term success.*

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b) Prepare an appropriate projection showing the movement of funds during the period and use it to evaluate the enterprise's sustainability.

1 b) PRODUCTION MANAGEMENT AND FINANCIAL STATEMENTS

Item 6

In 2026, a group of youth entrepreneurs in Hoima City established a fruit-processing enterprise to create employment opportunities and reduce post-harvest losses among farmers. As demand for their products increased, the enterprise expanded its operations and recruited additional workers. However, management later observed increasing wastage of raw materials, occasional shortages of finished products, delays in meeting customer orders, and rising operational costs. Concerned about the long-term survival of the enterprise, the owners decided to evaluate how resources and activities were being coordinated and to review the enterprise's financial performance for the year ended 31 December 2026.

The following information was extracted from the enterprise records (UGX): Sales revenue 120,000,000; opening inventory 15,000,000; purchases 55,000,000; carriage inwards 3,000,000; closing inventory 12,000,000; salaries and wages 18,000,000; rent expense 6,000,000; electricity and water 4,500,000; insurance 2,500,000; machinery 35,500,000; delivery van 29,000,000; debtors 14,000,000; creditors 10,500,000; cash at bank 8,000,000; drawings 5,000,000; capital 65,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Explain how the enterprise can improve the utilization and coordination of resources to reduce wastage and satisfy customer needs.

b) Using the information provided, prepare appropriate financial reports that would help the owners assess the performance and position of the enterprise.

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Item 7

A furniture manufacturing enterprise in Kagadi District secured several contracts from schools and government institutions. Despite increased demand, management experienced delays in production, accumulation of unfinished work, poor utilization of timber, and frequent machine breakdowns. To enhance sustainability, the directors decided to review enterprise operations and evaluate the financial results for the year.

The following information relates to the year ended 31 December 2026 (UGX): Sales 150,000,000; opening inventory 20,000,000; purchases 70,000,000; carriage inwards 4,000,000; closing inventory 18,000,000; factory wages 25,000,000; administrative expenses 8,000,000; transport expenses 3,500,000; insurance 2,000,000; equipment 45,000,000; motor vehicle 30,000,000; debtors 16,000,000; creditors 12,000,000; cash 22,500,000; drawings 6,000,000; capital 90,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend measures that could improve the efficiency and coordination of activities within the enterprise.*
- b) Prepare suitable financial reports from the information provided and comment on the enterprise's financial performance.*

Item 8

A dairy-processing enterprise in Kiryandongo District expanded its market by supplying yoghurt and fresh milk products to urban centres. Although sales increased, management observed that some resources remained idle during certain periods while shortages occurred during others. The enterprise also experienced quality control challenges and increasing operating costs. To support future planning, the owners decided to review the enterprise's financial records.

The following balances were extracted from the books of the enterprise as at 31 December 2026 (UGX): Sales revenue 180,000,000; opening inventory 22,000,000; purchases 85,000,000;

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carriage inwards 5,000,000; closing inventory 20,000,000; wages 28,000,000; salaries 12,000,000; rent 9,000,000; utilities 4,000,000; insurance 3,000,000; processing equipment 60,000,000; motor vehicle 35,000,000; debtors 20,000,000; cash 12,000,000, creditors 15,000,000; bank 12,000,000; drawings 8,000,000; capital 120,000,000.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips:*

- a) *Advise the owners on how they can better coordinate enterprise activities and resources to support long-term growth.*
- b) *Use the information provided to prepare financial reports that would assist stakeholders in evaluating the enterprise.*

Item 9

A community-based bakery in Buliisa District was established to provide affordable bread and confectioneries while creating employment opportunities for women and youth. As production increased, management noticed excessive wastage of flour, irregular work schedules, and customer complaints about delayed deliveries. To understand the enterprise's situation, the management committee resolved to review both operational practices and annual financial results.

The following information was obtained from the bakery records for the year ended 31 December 2026 (UGX): Sales revenue 95,000,000; opening inventory 10,000,000; purchases 42,000,000; carriage inwards 2,500,000; closing inventory 9,000,000; wages 16,000,000; salaries 8,000,000; rent 4,000,000; electricity 3,500,000; insurance 1,500,000; bakery equipment 28,000,000; delivery van 18,000,000; debtors 9,500,000; creditors 7,000,000; cash at bank 5,500,000; drawings 3,500,000; capital 50,000,000.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips:*

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- a) Discuss practical actions that can help the bakery improve efficiency and customer satisfaction.*
- b) Prepare the necessary financial reports and use them to assess the enterprise's financial position.*

Item 10

A honey-processing enterprise in the Albertine region sources honey from rural farmers and packages it for national markets. Recently, the enterprise expanded into new regions and invested heavily in branding and distribution. However, management experienced stock control challenges, occasional shortages of packaging materials, and inefficient use of labour. To support strategic decision-making, the directors reviewed the enterprise's annual financial information.

The following balances were extracted from the books of account as at 31 December 2026 (UGX): Sales revenue 135,000,000; opening inventory 14,000,000; purchases 60,000,000; carriage inwards 3,500,000; closing inventory 13,000,000; wages 20,000,000; salaries 10,000,000; marketing expenses 7,000,000; insurance 2,500,000; rent 5,000,000; processing equipment 40,000,000; vehicle 22,000,000; debtors 13,500,000; creditors 9,000,000; cash in hand 14,000,000, bank balance 7,500,000; drawings 5,000,000; capital 80,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Examine the measures that could enable the enterprise to improve the use of resources and achieve sustainable growth.*
- b) Prepare appropriate financial reports from the information given and evaluate the financial health of the enterprise.*

Production in an Enterprise and Financial ratios

Item 11

In 2026, a group of youth entrepreneurs in Hoima City established a fruit-processing enterprise to create employment opportunities and reduce post-harvest losses among farmers. As demand for their products increased, the enterprise expanded its operations and recruited additional workers.

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However, management later observed increasing wastage of raw materials, occasional shortages of finished products, delays in meeting customer orders, and rising operational costs. Concerned about the long-term survival of the enterprise, the owners decided to evaluate how resources and activities were being coordinated and to assess the enterprise's financial strength and efficiency at the end of the year.

The following information was extracted from the enterprise records as at 31 December 2026 (UGX): Sales revenue 120,000,000; opening inventory 15,000,000; purchases 55,000,000; carriage inwards 3,000,000; closing inventory 12,000,000; salaries and wages 18,000,000; rent expense 6,000,000; electricity and water 4,500,000; insurance 2,500,000; machinery 35,000,000; delivery van 25,000,000; debtors 14,000,000; creditors 10,500,000; cash at bank 8,000,000; drawings 5,000,000; capital 65,000,000.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips:*

- a) *Explain how the enterprise can improve the coordination and utilization of its resources to reduce losses and satisfy customer requirements.*
- b) *Using the information provided, determine appropriate indicators that can be used to assess the enterprise's profitability, liquidity and efficiency, and interpret the results obtained.*

Item 12

A furniture manufacturing enterprise in Kagadi District secured several contracts from schools and government institutions. Despite increased demand, management experienced delays in production, accumulation of unfinished work, poor utilization of timber, and frequent machine breakdowns. To enhance sustainability, the directors decided to review enterprise operations and evaluate the enterprise's financial condition and performance.

The following information relates to the year ended 31 December 2026 (UGX): Sales revenue 150,000,000; opening inventory 20,000,000; purchases 70,000,000; carriage inwards 4,000,000; closing inventory 18,000,000; factory wages 25,000,000; administrative expenses 8,000,000; transport expenses 3,500,000; insurance 2,000,000; equipment 45,000,000; motor vehicle

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30,000,000; debtors 16,000,000; creditors 12,000,000; cash at bank 10,000,000; drawings 6,000,000; capital 90,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Recommend measures that could improve the flow of activities and utilization of resources within the enterprise.

b) Calculate suitable measures that would enable management to evaluate the enterprise's ability to generate returns, meet short-term obligations and utilize resources effectively.

Item 13

A dairy-processing enterprise in Kiryandongo District expanded its market by supplying yoghurt and fresh milk products to urban centres. Although sales increased, management observed that some resources remained idle during certain periods while shortages occurred during others. The enterprise also experienced quality-control challenges and increasing operating costs. To support future planning, the owners decided to assess how effectively resources were being utilized and whether the business was financially sound.

The following balances were extracted from the books of the enterprise as at 31 December 2026 (UGX): Sales revenue 180,000,000; opening inventory 22,000,000; purchases 85,000,000; carriage inwards 5,000,000; closing inventory 20,000,000; wages 28,000,000; salaries 12,000,000; rent 9,000,000; utilities 4,000,000; insurance 3,000,000; processing equipment 60,000,000; motor vehicle 35,000,000; debtors 20,000,000; creditors 15,000,000; cash at bank 12,000,000; drawings 8,000,000; capital 120,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Advise the owners on how they can better organize and coordinate enterprise activities to support long-term growth.

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b) Use the information provided to establish suitable performance indicators and explain what they reveal about the enterprise's financial condition.

Item 14

A community-based bakery in Buliisa District was established to provide affordable bread and confectioneries while creating employment opportunities for women and youth. As production increased, management noticed excessive wastage of flour, irregular work schedules and customer complaints about delayed deliveries. To understand the enterprise's situation, the management committee resolved to review operational practices and evaluate whether available resources were generating satisfactory results.

The following information was obtained from the bakery records as at 31 December 2026 (UGX): Sales revenue 95,000,000; opening inventory 10,000,000; purchases 42,000,000; carriage inwards 2,500,000; closing inventory 9,000,000; wages 16,000,000; salaries 8,000,000; rent 4,000,000; electricity 3,500,000; insurance 1,500,000; bakery equipment 28,000,000; delivery van 18,000,000; debtors 9,500,000; creditors 7,000,000; cash at bank 5,500,000; drawings 3,500,000; capital 55,000,000.

Tasks

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Discuss practical actions that can help the bakery improve efficiency and customer satisfaction.*
- b) Determine suitable measures that would assist management in evaluating the enterprise's performance, financial stability and operational effectiveness.*

Item 15

A honey-processing enterprise in the Albertine region sources honey from rural farmers and packages it for national markets. Recently, the enterprise expanded into new regions and invested heavily in branding and distribution. However, management experienced stock-control challenges, occasional shortages of packaging materials and inefficient use of labour. To support strategic

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decision-making, the directors reviewed the enterprise's financial information and sought to establish whether the enterprise was making effective use of its resources.

The following balances were extracted from the books of account as at 31 December 2026 (UGX): Sales revenue 135,000,000; opening inventory 14,000,000; purchases 60,000,000; carriage inwards 3,500,000; closing inventory 13,000,000; wages 20,000,000; salaries 10,000,000; marketing expenses 7,000,000; insurance 2,500,000; rent 5,000,000; processing equipment 40,000,000; vehicle 22,000,000; debtors 13,500,000; creditors 9,000,000; cash at bank 7,500,000; drawings 5,000,000; capital 80,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) *Examine the measures that could enable the enterprise to improve the use of resources and achieve sustainable growth.*
- b) *Using relevant calculations, assess the enterprise's ability to generate satisfactory returns, settle obligations as they fall due and manage its resources efficiently.*

Item 16

Following the growth of the construction sector in the Albertine region, an enterprise manufacturing concrete blocks expanded its operations to meet increasing demand. Despite acquiring additional equipment, management noticed production delays, underutilization of labour and increasing levels of defective products. The owners therefore decided to evaluate both the operational and financial status of the enterprise at the end of the year.

The following information was available as at 31 December 2026 (UGX): Sales revenue 210,000,000; opening inventory 25,000,000; purchases 95,000,000; carriage inwards 6,000,000; closing inventory 22,000,000; wages 35,000,000; salaries 15,000,000; rent 10,000,000; insurance 4,000,000; utilities 5,500,000; machinery 75,000,000; motor vehicle 40,000,000; debtors 25,000,000; creditors 18,000,000; cash at bank 15,000,000; drawings 10,000,000; capital 150,000,000.

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Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips:*

- a) *Assess how the enterprise can improve the organization and utilization of its resources to enhance sustainability.*
- b) *Calculate and interpret appropriate measures that would help the owners evaluate the enterprise's profitability, short-term financial strength and effectiveness in utilizing available resources.*

Generate broad scenario items based on Ncdc A level aligned curriculum Entrepreneurship construct of "Managing a business for sustainability" with two tasks of a) production management b) financial ratios. Hide the concepts in the tasks from learners. Let the financial information be given in figures in the second paragraph

Item 17

In 2026, a group of young entrepreneurs established a maize-processing enterprise in Kikuube District to add value to agricultural produce and create employment opportunities for local youth. Initially, the enterprise experienced rapid growth due to increased demand from schools and retail shops. However, management later observed frequent interruptions in operations arising from machine breakdowns, delayed delivery of raw materials, accumulation of unsold stock, and increasing customer complaints. Concerned about the future survival of the enterprise, the owners decided to review how resources and activities were being coordinated and whether the business was making effective use of its financial resources.

The following information was extracted from the enterprise records as at 31 December 2026 (UGX): Sales revenue 180,000,000; opening inventory 24,000,000; purchases 82,000,000; carriage inwards 4,000,000; closing inventory 20,000,000; wages 28,000,000; salaries 15,000,000; rent 8,000,000; utilities 5,000,000; insurance 3,000,000; machinery 65,000,000; motor vehicle 30,000,000; debtors 18,000,000; creditors 12,000,000; cash at bank 10,000,000; capital 120,000,000.

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Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Explain how the enterprise can improve the management of its activities and resources to enhance efficiency and customer satisfaction.
- b) Determine and interpret appropriate indicators that would enable the owners to assess the enterprise's performance, stability and utilization of resources.

Item 18

A dairy-processing enterprise in Hoima City expanded its operations after securing contracts to supply yoghurt and milk products to supermarkets in the region. Despite increased demand, management noticed periods of idle labour, shortages of packaging materials, inconsistent product quality and delays in fulfilling customer orders. To promote long-term growth, the directors decided to evaluate both operational effectiveness and the overall health of the enterprise.

The following information was available at the end of the financial year (UGX): Sales revenue 220,000,000; opening inventory 30,000,000; purchases 95,000,000; carriage inwards 5,000,000; closing inventory 25,000,000; direct labour 35,000,000; administrative expenses 18,000,000; marketing expenses 10,000,000; insurance 4,000,000; processing equipment 80,000,000; delivery vehicles 40,000,000; debtors 22,000,000; creditors 16,000,000; cash at bank 18,000,000; capital 160,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Suggest measures that could help management improve the coordination of activities and the use of enterprise resources.
- b) Using the information provided, establish suitable measures that would assist in evaluating the enterprise's financial condition and operational effectiveness.

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Item 19

A furniture manufacturing enterprise in Kagadi District experienced rapid growth after receiving several orders from schools and hotels. As production increased, management observed rising levels of timber wastage, increasing machine downtime, delays in completing customer orders and poor scheduling of workers. The directors therefore decided to examine how effectively enterprise resources were being utilized and whether the business was operating efficiently.

The following information relates to the year ended 31 December 2026 (UGX): Sales revenue 165,000,000; opening inventory 18,000,000; purchases 72,000,000; carriage inwards 3,500,000; closing inventory 15,000,000; factory wages 26,000,000; salaries 12,000,000; transport expenses 4,000,000; rent expense 6,000,000; insurance 2,500,000; equipment 55,000,000; motor vehicle 28,000,000; debtors 15,000,000; creditors 10,000,000; cash at bank 8,500,000; capital 110,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise the directors on how they can improve the organization and control of enterprise activities to support sustainability.
- b) Compute and interpret suitable indicators that would help determine how effectively the enterprise is performing and utilizing its resources.

Item 20

Following severe floods in parts of Buliisa District, a community enterprise started producing construction materials to support rebuilding efforts. Demand for its products increased significantly, leading to expansion of operations. However, management later discovered excessive wastage of raw materials, underutilized equipment and inconsistent output levels. To support future planning, the enterprise decided to review both its operational practices and financial position.

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The following balances were extracted from the books of the enterprise as at 31 December 2026 (UGX): Sales revenue 140,000,000; opening inventory 16,000,000; purchases 60,000,000; carriage inwards 3,000,000; closing inventory 14,000,000; wages 22,000,000; salaries 11,000,000; utilities 4,500,000; insurance 2,000,000; machinery 70,000,000; motor vehicle 25,000,000; debtors 14,500,000; creditors 9,500,000; cash at bank 7,500,000; capital 95,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Discuss practical measures that could improve the use of resources and ensure smooth enterprise operations.
- b) Determine appropriate measures that can be used to evaluate the enterprise's profitability, ability to meet obligations and effectiveness in resource utilization.

Item 21

A honey-processing enterprise operating in the Albertine region expanded into national markets after securing contracts with major retailers. Despite the growth in sales, management experienced challenges related to stock control, inefficient deployment of workers, delays in processing activities and rising operational costs. To determine whether the enterprise was on a sustainable path, the owners decided to review the performance of the business.

The following information was obtained from the enterprise records as at 31 December 2026 (UGX): Sales revenue 190,000,000; opening inventory 20,000,000; purchases 84,000,000; carriage inwards 4,000,000; closing inventory 18,000,000; wages 30,000,000; salaries 14,000,000; marketing expenses 8,000,000; rent expense 7,000,000; insurance 3,000,000; processing equipment 60,000,000; vehicle 35,000,000; debtors 19,000,000; creditors 13,000,000; cash at bank 12,000,000; capital 135,000,000.

Tasks: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

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- a) *Examine how the enterprise can improve the coordination of activities and utilization of resources to support continued growth.*
- b) *Using suitable calculations, evaluate the extent to which the enterprise is achieving its objectives and maintaining a sound financial position.*

Item 22

A bakery established by a youth cooperative in Hoima City supplies bread and confectioneries to schools, restaurants and supermarkets. Although the enterprise has experienced increasing demand, management has observed excessive wastage of flour, irregular production schedules, frequent equipment breakdowns and customer complaints regarding late deliveries. The cooperative members therefore resolved to evaluate the enterprise's operational effectiveness and overall business performance.

The following information was extracted from the books of account at the end of the year (UGX): Sales revenue 125,000,000; opening inventory 12,000,000; purchases 50,000,000; carriage inwards 2,500,000; closing inventory 10,000,000; wages 18,000,000; salaries 9,000,000; electricity and water 4,000,000; insurance 2,000,000; bakery equipment 35,000,000; delivery van 20,000,000; debtors 11,000,000; creditors 8,000,000; cash at bank 6,500,000; capital 75,000,000.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) *Assess the actions that could improve the planning, coordination and utilization of enterprise resources.*
- b) *Calculate and interpret suitable indicators that would help stakeholders assess the enterprise's performance, financial strength and operational efficiency.*

SECTION B : (MARKETING, HRM, BUSINESS PLANNING, AND BUSINESS COMPETITION)

Item 1

In 2026, a group of young entrepreneurs in Fortportal City established a fruit-processing enterprise to add value to locally produced fruits. During the first year of operation, the enterprise attracted many customers due to the quality of its products. However, competition from similar enterprises increased, causing sales growth to slow down. At the same time, management noticed increasing employee absenteeism, declining morale among workers, and misunderstandings between supervisors and production staff. Concerned about the future sustainability of the enterprise, the owners decided to review how they interacted with customers and how people within the enterprise were being managed.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Advise the enterprise on how it can strengthen its relationship with customers and increase demand for its products in an increasingly competitive environment.*
- b) Explain the measures the enterprise can adopt to improve employee commitment, productivity, and cooperation among workers.*

Item 2

Following the growth of the construction sector in the Bokeddi region, a youth-owned enterprise in Kagadi District began producing roofing materials. Initially, sales increased rapidly due to the growing demand for affordable construction products. However, customer complaints about delayed responses to inquiries and inadequate product information started to emerge. At the same time, employee turnover increased, forcing the enterprise to spend more resources recruiting and orienting new workers.

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Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Suggest strategies the enterprise can use to attract, retain, and satisfy customers while maintaining a positive image in the market.*
- b) Recommend practical measures that would enable the enterprise to retain skilled workers and enhance their contribution to enterprise goals.*

Item 3

A dairy-processing enterprise in Kiryandongo District expanded its operations after securing contracts with schools and supermarkets. Although production increased, management realized that many potential customers were unaware of some of the enterprise's products. In addition, several workers complained about limited opportunities for growth and unclear responsibilities, resulting in reduced motivation.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips

- a) Examine how the enterprise can increase awareness of its products and strengthen its position in the market.*
- b) Assess the actions management can take to ensure employees remain motivated and understand their roles within the enterprise.*

Item 4

A community-based bakery in Buliisa District was established to create employment opportunities for women and youth while supplying affordable bread to nearby communities. As the bakery expanded, new competitors entered the market, reducing the enterprise's customer base. Meanwhile, management observed increasing conflicts among employees and declining work performance.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

a) *Explain how the bakery can improve its interaction with existing and potential customers to remain competitive.*

b) *Discuss how management can create a productive work environment that encourages cooperation and high performance among workers.*

Item 5

A honey-processing enterprise operating in the Nebbi expanded into regional markets after receiving support from development partners. Despite producing high-quality products, sales remained below expectations in some areas. The enterprise also experienced challenges related to employee dissatisfaction, late reporting to work, and declining commitment to organizational goals.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) *Recommend ways through which the enterprise can improve product acceptance and build stronger relationships with its target market.*

b) *Advise management on how it can encourage employees to contribute effectively towards the long-term success of the enterprise.*

Item 6

A furniture manufacturing enterprise in Arua City secured contracts from several schools and hotels. As operations expanded, customer feedback indicated that many clients were dissatisfied with the level of after-sales support provided by the enterprise. Internally, workers expressed concerns about the lack of recognition for outstanding performance and limited communication from management.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) *Suggest measures that could help the enterprise strengthen customer loyalty and improve its reputation in the market.*

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Examine how management can improve communication, motivation, and employee performance within the enterprise.

Item 7

A social enterprise producing reusable sanitary products was established to improve the welfare of girls in rural communities. Although the products addressed an important social need, the enterprise struggled to reach many potential beneficiaries. In addition, the organization faced challenges in coordinating employees and volunteers working in different locations.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Propose strategies that can help the enterprise reach more beneficiaries and strengthen public awareness of its activities.

b) Explain how the enterprise can effectively coordinate and support individuals working towards the achievement of its objectives.

Item 8

A poultry enterprise in Kikuube District expanded its operations after obtaining financing from a microfinance institution. As production increased, management realized that customers were increasingly demanding better information about products and services. At the same time, the enterprise faced difficulties arising from poor staff discipline, inadequate supervision, and low morale among employees.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the enterprise on how it can better understand and respond to customer needs in order to improve its performance.

b) Discuss measures that can help the enterprise build a committed, disciplined, and productive workforce capable of supporting long-term sustainability.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Item 9

In 2026, a group of youth entrepreneurs in Mbarara City established a fruit-processing enterprise to create employment opportunities and reduce post-harvest losses among local farmers. The enterprise experienced rapid growth during its first year due to strong community support and increasing demand for packaged fruit products. However, management later realized that future expansion would require careful coordination of resources, clear priorities, and proper allocation of responsibilities. At the same time, several new enterprises entered the market offering similar products at lower prices, threatening the enterprise's market share and profitability.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Advise the owners on the measures they should undertake to guide the future growth and development of the enterprise.
- b) Explain how the enterprise can maintain its position and continue attracting customers despite the emergence of rival businesses.

Item 10

A dairy-processing enterprise in Kiryandongo District expanded after securing contracts to supply milk products to schools and supermarkets. The directors intended to establish additional collection centres and introduce new product lines. However, they were uncertain about the resources required, the risks involved, and the expected outcomes of the expansion. Meanwhile, several well-established processors began operating in the same region, intensifying pressure on prices and customer loyalty.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Examine the actions management should take before committing resources to future expansion and diversification activities.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Recommend practical measures that would enable the enterprise to survive and grow in an environment where several firms are targeting the same customers.

Item 11

A furniture manufacturing enterprise in Kagadi District gained popularity due to its quality products and timely delivery of customer orders. Encouraged by its success, the enterprise planned to enter new markets and increase production capacity. However, management lacked a clear roadmap for coordinating activities and monitoring progress. In addition, imported furniture and products from other local manufacturers were becoming increasingly attractive to customers.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Discuss the steps the enterprise should take to organize its future activities and achieve its long-term aspirations.

b) Suggest strategies that would enable the enterprise to remain attractive to customers in the face of growing pressure from alternative suppliers.

Item 12

A community-based bakery in Kibaale District was established to create employment opportunities for women and youth while supplying affordable bakery products to nearby communities. As demand increased, the management committee considered opening additional outlets in neighbouring districts. However, they needed a structured approach to guide decision-making and resource allocation. At the same time, several bakeries offering similar products had entered the market, reducing sales and increasing customer choice.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the management committee on how they can systematically prepare for future growth and expansion.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Explain how the bakery can continue attracting customers and sustaining its operations in an increasingly crowded market.

Item 13

A honey-processing enterprise operating in the northern region expanded its operations after securing support from development partners. The enterprise intended to increase production, enter export markets, and establish collection centres in new districts. However, management needed to carefully consider priorities, available resources, and possible challenges before implementation. Meanwhile, other honey processors had begun targeting the same markets with aggressive pricing and promotional campaigns.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Assess the actions that management should undertake to ensure future activities are implemented successfully and resources are utilized effectively.

b) Discuss the approaches the enterprise can use to strengthen its market position and withstand pressure from other firms offering similar products.

Item 14

A poultry enterprise in Bushenyi District experienced significant growth after supplying eggs and poultry products to schools, hotels, and retail shops. Encouraged by the increasing demand, the owners intended to invest in modern production facilities and expand into regional markets. However, they recognized the need to carefully coordinate resources and evaluate future opportunities before making major commitments. At the same time, several large poultry producers entered the region and began attracting customers through lower prices and wider distribution networks.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

a) Explain the measures the enterprise should take to prepare for future developments and ensure that resources are directed towards achieving enterprise goals.

b) Recommend strategies that would enable the enterprise to continue performing successfully despite the presence of stronger rivals.

Item 15

A social enterprise producing reusable sanitary products was established to improve the welfare of girls in rural communities. As awareness of the products increased, the enterprise planned to expand its operations to other regions of Uganda. The directors needed to determine how available resources would be used, identify possible risks, and establish priorities for future activities. At the same time, several organizations began offering similar products and services to the same target beneficiaries.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the directors on how they can effectively prepare for future activities while minimizing uncertainties and resource wastage.

b) Examine the measures the enterprise can adopt to remain relevant and effective when other organizations are pursuing similar objectives.

Item 16

A construction materials enterprise in Hoima City benefited from increased demand arising from infrastructure development in the region. Management planned to establish additional production facilities and expand distribution channels to neighbouring districts. However, the enterprise lacked a clear framework for coordinating future activities and evaluating progress. In addition, new entrants offering comparable products and services were rapidly gaining market share.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

a) Discuss how the enterprise can organize its future activities and allocate resources to achieve sustainable growth.

b) Explain how the enterprise can protect its customer base and improve performance in a market where many firms are competing for the same opportunities

Item 17

In 2026, a group of young entrepreneurs established a fruit-processing enterprise in Hoima City to create employment opportunities and add value to locally produced fruits. After two years of operation, the enterprise experienced increased demand from supermarkets and schools. The owners considered expanding production, entering new markets, and acquiring additional equipment. However, they were uncertain about the resources required and the possible challenges that could arise during expansion. At the same time, management observed increasing absenteeism, declining employee morale, and conflicts among workers, which were affecting productivity.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the owners on how they can prepare for future growth and ensure that resources are utilized effectively in achieving enterprise aspirations.

b) Explain the measures that can be adopted to improve employee commitment, cooperation, and productivity within the enterprise.

Item 18

A dairy-processing enterprise in Kiryandongo District expanded its customer base after securing contracts with supermarkets and educational institutions. Encouraged by the growing demand, management intended to establish milk collection centres in neighbouring districts and diversify its product range. However, uncertainty about future market conditions and resource requirements created concern among the directors. In addition, the enterprise experienced high labour turnover, frequent misunderstandings between supervisors and workers, and declining staff motivation.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) Discuss the actions management should undertake before committing resources to future expansion activities.
- b) Assess how the enterprise can create a productive work environment that encourages employees to contribute effectively towards enterprise goals.

Item 19

A furniture manufacturing enterprise in Kagadi District gained popularity for producing quality furniture for schools, offices, and hotels. As the enterprise grew, the owners planned to increase production capacity and establish outlets in other regions. However, they lacked a clear framework for guiding future activities and evaluating progress. Meanwhile, employees complained about limited opportunities for growth, inadequate communication, and lack of recognition for good performance.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Explain how the enterprise can prepare itself for future developments while minimizing uncertainty and resource wastage.*
- b) *Recommend measures that can improve communication, employee satisfaction, and overall work performance.*

Item 20

A community-based bakery in Buliisa District was established to provide affordable bakery products while creating employment opportunities for women and youth. Following several years of successful operation, management considered opening additional outlets in neighbouring districts. However, concerns arose regarding resource allocation, future priorities, and the ability

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

to coordinate expanding operations. At the same time, worker absenteeism increased and conflicts among employees became more common.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

a) *Advise the management committee on how they can effectively prepare for future growth and development.*

b) *Discuss practical measures that can help create a harmonious and productive workforce within the bakery.*

Item 21

A honey-processing enterprise operating in the West Nile region planned to expand into national and export markets after receiving support from development partners. While the opportunity appeared promising, management needed to determine future priorities, identify potential challenges, and ensure effective use of available resources. In addition, the enterprise faced difficulties arising from poor staff discipline, low morale, and increasing employee turnover.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

a) *Examine how the enterprise can systematically prepare for future opportunities and challenges.*

b) *Suggest ways through which management can encourage employees to remain committed to enterprise objectives and improve their performance.*

Item 22

A poultry enterprise in Kikuube District experienced significant growth after securing supply contracts with schools, hotels, and retail shops. The owners intended to acquire additional land, increase production capacity, and establish distribution centres in nearby towns. However, they were uncertain about how best to coordinate future activities and allocate resources. Meanwhile, some employees complained about unclear responsibilities, inadequate supervision, and limited opportunities for personal development.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Assess the actions that should be undertaken before making major commitments intended to influence the future direction of the enterprise.*
- b) *Explain how management can ensure that employees understand their responsibilities and contribute effectively towards enterprise success.*

Item 23

A social enterprise producing reusable sanitary products in Entebbe expanded its operations after securing funding from development organizations. The enterprise intended to reach more beneficiaries across Uganda while maintaining product quality and financial sustainability. However, management needed to determine how resources would be allocated and how future activities would be coordinated. In addition, the organization faced challenges in coordinating employees and volunteers working in different regions.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Advise the directors on how they can prepare the enterprise for future growth while minimizing uncertainty and resource wastage.*
- b) *Examine measures that can improve coordination, commitment, and performance among individuals working towards enterprise objectives.*

Item 24

A construction materials enterprise in Mbale City benefited from increased demand resulting from infrastructure development projects in the region. Management planned to establish additional production facilities and expand into neighbouring districts. However, concerns emerged regarding future resource requirements, possible risks, and the implementation of expansion activities. At the same time, the enterprise experienced declining employee motivation, increasing complaints, and reduced productivity.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) *Discuss how the enterprise can organize and prepare for future developments while ensuring effective use of available resources.*
- b) *Recommend actions that can help management build a motivated, disciplined, and productive workforce capable of supporting long-term sustainability.*

Item 25

In 2026, a group of youth entrepreneurs in Kampala City established a fruit-processing enterprise to add value to locally grown fruits and create employment opportunities for young people. Initially, the enterprise enjoyed strong sales due to community support and the uniqueness of its products. However, as the market expanded, several enterprises began offering similar products, resulting in reduced sales growth and increased customer choice. Management also noticed that many potential customers were unaware of some of the products available, limiting opportunities for further expansion.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) *Advise the enterprise on how it can strengthen awareness, acceptance, and demand for its products among existing and potential customers.*
- b) *Explain the measures the enterprise can adopt to maintain its market position and continue attracting customers despite the increasing number of firms offering similar products.*

Item 26

A dairy-processing enterprise in Kiryandongo District expanded its operations after securing contracts with schools, supermarkets, and hotels. While production capacity increased significantly, management realized that many consumers in neighbouring districts had limited knowledge of the enterprise and its products. At the same time, established processors and new

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

entrants intensified efforts to attract the same customers through attractive pricing and product innovations.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Discuss the actions the enterprise can take to improve customer awareness, satisfaction, and loyalty.*
- b) *Assess how the enterprise can continue growing and performing successfully in an environment where many firms are competing for the same market opportunities.*

Item 27

A furniture manufacturing enterprise in Nwoya District became popular for producing quality furniture for schools, offices, and hotels. Encouraged by this success, the owners planned to enter new regional markets. However, management observed that many potential customers preferred products from rival firms because they were more visible and easily accessible. The enterprise also faced pressure from imported furniture and other local manufacturers.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Suggest ways through which the enterprise can increase customer interest in its products and strengthen relationships with buyers.*
- b) *Recommend practical actions that would enable the enterprise to remain attractive to customers in the face of pressure from alternative suppliers.*

Item 28

A community-based bakery in Buliisa District was established to create employment opportunities for women and youth while supplying affordable bakery products to surrounding communities. Although the bakery initially attracted many customers, several new bakeries later entered the market offering similar products. Management became concerned about declining customer numbers and the possibility of losing a significant share of the local market.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Explain how the bakery can improve interactions with customers and encourage continued purchase of its products.*
- b) *Discuss the strategies the bakery can use to sustain its operations and remain relevant when many businesses are targeting the same customers.*

Item 29

A honey-processing enterprise operating in the Albertine region expanded after receiving support from development partners. The enterprise invested heavily in improving product quality and packaging but found that sales in some areas remained below expectations. At the same time, other honey processors intensified efforts to attract customers through lower prices, wider distribution networks, and promotional activities.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

- a) *Advise the enterprise on how it can increase public awareness and acceptance of its products in different markets.*
- b) *Examine the approaches the enterprise can use to strengthen its position and withstand pressure from businesses offering similar products.*

Item 30

A poultry enterprise in Masaka District experienced increasing demand from schools, hotels, and retail shops. Encouraged by this growth, the owners sought to expand into neighbouring districts. However, they discovered that several established producers already served these markets and enjoyed strong customer loyalty. In addition, many potential customers knew little about the enterprise and its products.

Task: *Using entrepreneurial knowledge and skills acquired from your school business club and field trips;*

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

- a) Discuss how the enterprise can effectively reach, attract, and retain customers in both existing and new markets.
- b) Assess the measures that can enable the enterprise to succeed when competing with larger and more established firms.

Item 31

A social enterprise producing reusable sanitary products was established in Kyengera to improve the welfare of girls in rural communities. While the products addressed an important social need, the organization struggled to reach many potential beneficiaries. Furthermore, other organizations had begun implementing similar initiatives in the same communities, making it difficult to maintain visibility and support.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Suggest practical ways through which the enterprise can increase awareness of its activities and encourage wider acceptance of its products.
- b) Explain how the enterprise can continue achieving its objectives when other organizations are pursuing similar goals in the same environment.

Item 32

A construction materials enterprise in Jinja City benefited from increased demand arising from infrastructure development projects in the region. However, several new entrants established operations and began offering comparable products to contractors and property developers. Management became concerned about maintaining customer loyalty and ensuring that the enterprise continued to perform well despite the changing business environment.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) Advise the enterprise on how it can strengthen its relationship with customers and encourage continued preference for its products and services.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Examine the actions the enterprise can take to sustain its performance and growth in a market characterized by numerous firms pursuing the same opportunities

Item 33

In 2026, a group of youth entrepreneurs in Hoima City established a fruit-processing enterprise to reduce post-harvest losses and create employment opportunities. The enterprise gained popularity because of the quality of its products and support from local farmers. As demand increased, management considered introducing new products and expanding into neighbouring districts. However, many potential customers outside Hoima were unfamiliar with the enterprise, and the owners were uncertain about the resources and actions required to support future growth.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the enterprise on how it can increase awareness, acceptance, and demand for its products among existing and potential customers.

b) Explain the actions the owners should undertake to prepare for future growth and ensure that resources are directed towards achieving enterprise aspirations.

Item 34

A dairy-processing enterprise in Kiryandongo District expanded after securing contracts with schools, hotels, and supermarkets. Encouraged by its success, management intended to establish additional milk collection centres and introduce new dairy products. However, customer surveys revealed that many consumers were unaware of some of the products offered by the enterprise. The directors also recognized the need to carefully organize future activities and allocate resources effectively before embarking on expansion.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Discuss practical ways through which the enterprise can improve customer awareness, satisfaction, and loyalty.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Examine how management can prepare for future opportunities and coordinate resources to achieve desired outcomes.

Item 35

A furniture manufacturing enterprise in Kagadi District became known for producing quality furniture for schools and offices. As the enterprise grew, the owners planned to enter regional markets and diversify their product range. However, many potential customers in the target areas had limited knowledge of the enterprise and its products. In addition, management lacked a clear approach for guiding future activities and monitoring progress towards enterprise goals.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Suggest measures that can help the enterprise attract more customers and strengthen relationships with existing buyers.

b) Recommend actions that would help the enterprise organize future activities and achieve its long-term aspirations.

Item 36

A community-based bakery in Kamuli District was established to provide affordable bakery products while creating employment opportunities for women and youth. Following several years of successful operation, the management committee considered opening additional outlets in neighbouring districts. However, customer numbers had recently started to decline, and many residents in the intended expansion areas were unfamiliar with the bakery's products. Management therefore decided to review how the enterprise engaged with customers and how future developments would be managed.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Explain how the bakery can encourage continued customer support and attract new buyers in different locations.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

b) Advise the management committee on how they can prepare for future expansion while ensuring effective use of enterprise resources.

Item 37

A honey-processing enterprise operating in the Albertine region received support from development partners to expand into national markets. Although the enterprise had invested heavily in product quality and packaging, sales in some areas remained below expectations because many consumers were unfamiliar with the brand. At the same time, the directors needed to determine priorities, resource requirements, and possible risks associated with future expansion.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Assess how the enterprise can improve public awareness and acceptance of its products in different markets.

b) Discuss the actions management should undertake before committing resources to future opportunities and expansion activities.

Item 38

A poultry enterprise in Moyo District experienced increasing demand from schools, hotels, and retail shops. The owners planned to acquire additional land, increase production capacity, and establish distribution centres in nearby towns. However, many potential customers in those towns had limited knowledge of the enterprise and its products. The owners also needed to determine how resources would be allocated and how future activities would be coordinated.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

a) Advise the enterprise on how it can effectively reach, attract, and retain customers in both existing and new markets.

b) Examine the measures that can help the enterprise prepare for future developments and achieve sustainable growth.

UACE ENT 2 PRACTICE ITEMS (SECTION A AND B)

Item 39

A social enterprise producing reusable sanitary products in kyotera expanded its operations after receiving support from donors and community organizations. The directors intended to reach more beneficiaries across Uganda but realized that awareness of the products remained low in many communities. Furthermore, the enterprise needed to determine how future activities would be implemented and monitored while making efficient use of available resources.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) *Suggest practical ways through which the enterprise can increase awareness of its products and encourage wider acceptance among target beneficiaries.*
- b) *Explain how the enterprise can prepare for future developments and ensure that activities contribute towards the achievement of long-term aspirations.*

Item 40

A construction materials enterprise in Gulu City benefited from increased demand resulting from infrastructure development projects in the region. Management planned to establish additional production facilities and enter new markets within Uganda. However, many potential customers in those markets were unfamiliar with the enterprise and its products. In addition, management needed to identify priorities, estimate resource requirements, and determine how future activities would be coordinated.

Task: Using entrepreneurial knowledge and skills acquired from your school business club and field trips;

- a) *Discuss how the enterprise can strengthen customer awareness and encourage preference for its products and services.*
- b) *Advise management on how it can organize future activities and allocate resources effectively to support enterprise sustainability.*